

ACCOUNTS FROM INCOMPLETE RECORDS

- 1 The following information relates to Banda's Tuckshop which commenced operating on 1 January 2022.

	\$
Capital at 1 January 2022	20 000
Drawings during the year	1 000
Gift from friend	6 000
Net profit for the year	11 000

What is the value of the net assets at 31 December 2022?

- A \$30 000
B \$36 000
C \$37 000
D \$38 000
- 2 Which formula can be used to calculate net profit?
- A Closing capital + drawings – capital added – opening capital.
B Closing capital – drawings + capital added – opening capital.
C Opening capital + drawings – capital added – closing capital.
D Opening capital – drawings – capital added – closing capital.
- 3 Makombe, a sole trader, maintains a constant gross profit margin of 20%.

During 2014 she expects that purchases of \$90 000 will be required in order to increase inventory levels by \$10 000.

What sales revenue is she expecting?

- A \$96 000
B \$100 000
C \$108 000
D \$112 500

RESOURCE PACK/ACCOUNTING/A LEVEL (11th HOUR SERIES)

- 4 The business of a sole trader has the following information for the year ended 31 December 2003.

Mark-up	$\frac{3}{7}$
Inventory at 1 January	\$ 20 000
Inventory at 31 December	\$ 25 000
Sales	\$220 000

What is the value of purchases during the year?

- A \$130 714
B \$149 000
C \$154 000
D \$159 000
- 5 At the beginning of the year, prepaid electricity was \$6 000, and at the end of year, the business owed \$9 000 for electricity. The business prepaid \$85 000 for electricity during the year.

The amount charged to the Profit and Loss Account at the year end was

- A \$70 000.
B \$82 000.
C \$85 000.
D \$100 000.
- 6 The information below is about a business whose inventory valued at \$1 000 was destroyed by fire on 30 June 2006. All sales are made at a uniform gross profit margin of 20%.

	\$
Inventory on 1 June 2006	20 000
Sales	140 000
Purchases	128 000

What is the value of inventory which was not destroyed by fire on 30 June 2006?

- A \$28 000
B \$35 000
C \$36 000
D \$37 000

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- 7 The table below shows information for a business.

	2005 January 1	2005 December 31
	\$	\$
Inventory	36 000	40 000
Trade payables	24 000	30 000

A total of \$94 000 was paid to trade payables. What is the cost of sales for the year?

- A** \$90 000
B \$94 000
C \$96 000
D \$100 000
- 8 An estate agent receives an annual rent of \$60 million. The tenant makes payments quarterly in advance on 1 January, 1 April, 1 July and 1 October.

Assuming that the tenant pays all rent on the due dates, which of the following should be included in the estate agent's book for rent income for the year ended 30 April 2005?

- A** \$5 million accrual
B \$10 million in advance
C \$15 million accrual
D \$15 million in advance
- 9 The following information is for a business which lost all of its inventory in a fire on 10 June 2015:

	\$
Inventory on 30 May 2015	1 300 000
Sales for the period 1 – 9 June 2015	192 000
Purchases for the period 1 – 9 June 2015	150 000

What was the value of inventory on 9 June 2015, if the business makes a margin of 25%.

- A** \$1 258 000
B \$1 294 000
C \$1 306 000
D \$1 342 000

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- 10** Sidanile prepares her accounts annually to 30 June. She pays an annual rent of \$36 000 and makes the payments quarterly in advance on 1 June, 1 September, 1 December and 1 March.

Which amount should be included in the statement of financial position at 30 June 2006?

- A** \$3 000 accrual
- B** \$3 000 prepayment
- C** \$6 000 accrual
- D** \$6 000 prepayment

- 11** The following information is for a sole trader for the period ending 30 June 2014.

	\$
Carriage on purchases	500
Purchases for the period	100 000
Inventory withdrawn for personal use	4 000
Returns inwards	1 000
Returns outwards	2 000

The closing inventory on 31 December 2013 was valued at \$2 000 less than on 30 June 2014.

What is the cost of sales?

- A** \$ 96 000
- B** \$ 96 500
- C** \$ 98 500
- D** \$100 500

- 12** Chipso's financial year ends on 30 April. She pays an annual rent of \$ 12 000. The payments are made quarterly in advance, on 1 January, 1 April, 1 July and 1 October.

Which amount should be included in her statement of financial position as at 30 April?

- A** \$1 000 accrual
- B** \$1 000 prepayment
- C** \$2 000 accrual
- D** \$2 000 prepayment

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- 13** Tindo a manufacturer does not keep proper accounting records. The following information is available.

	\$
Capital at start of year	500 000
Capital at the end of year	700 000
Drawings	50 000

Plant and machinery which cost \$150 000 with accumulated depreciation of \$50 000 were revalued at \$200 000 during the year.

What is the net profit for the year?

- A** \$250 000
- B** \$200 000
- C** \$150 000
- D** \$100 000

- 14** An armed robber entered into a shop and stole all the cash from the till. The following information is available.

	\$
Cash balance at start of period	1 000
Increase in trade receivables during period	6 000
Total cash sales during period	200 000
Receipts from trade receivables paid into bank	150 000
Expenses paid from cash received	4 000

How much cash was stolen?

- A** \$29 000
- B** \$41 000
- C** \$45 000
- D** \$53 000

RESOURCE PACK/ACCOUNTING/A LEVEL (11th HOUR SERIES)

- 15** The following information is extracted from the books of Tafa, a trader.

	\$
Net loss for the year	10 000
Drawings	20 000
Surplus on revaluation	5 000
Capital at end of the year	100 000

What is the trader's opening capital?

- A** \$75 000
B \$125 000
C \$130 000
D \$135 000
- 16** John has not kept proper records for his business. Between 31 December 2011 and 31 December 2012, his net assets increased by \$20 000. On 1 January 2012, John revalued his plant and machinery from a net book value of \$40 000 to \$50 000. Drawings for the year ended 31 December were \$12 000.

What was the profit for the year ended 31 December 2012?

- A** \$8 000
B \$20 000
C \$22 000
D \$32 000
- 17** When goods have been lost by fire or theft, the loss must be reflected in the Trading account for the year as a reduction of
- A** closing inventory.
B cost of sales.
C gross profit.
D sales.

RESOURCE PACK/ACCOUNTING/A LEVEL (11th HOUR SERIES)

- 18** A trader pays annual rent of \$24 000 and makes the payments quarterly in advance on 1 February, 1 May, 1 August and 1 November.

Which amount should be included in the statement of financial position for the year ending 31 May?

- A** \$2 000 accrual
- B** \$2 000 prepayment
- C** \$4 000 accrual
- D** \$4 000 prepayment

- 19** The following information relates to a business:

	01/01/2006	31/12/2006
	\$	\$
Assets	36 000	57 000
Liabilities	2 400	17 000
Drawings	—	27 000

Assets at 31 December 2006 included a private car valued at \$9 000 brought into the business on 1 November 2006.

What was the profit or loss for the year?

- A** \$6 400 profit
- B** \$20 600 loss
- C** \$24 400 profit
- D** \$33 400 profit

- 20** The following information has been extracted from the statement of financial position of a sole trader at 30 June 2012:

	\$
Fixed assets	650 000
Current assets	300 000
Current liabilities	250 000
Long-term loan	25 000
Net profit for the year	40 000

What was the capital for the sole trader at 30 June 2012?

- A** \$675
- B** \$715
- C** \$725
- D** \$950

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- 21** A shop owner suspects theft of cash by an employee. He provides the data shown.

	\$
Cash balance at the start of month	350
Cash balance at the end of month	300
Cash banked	25 500
Cash sales for the month	26 700

How much was cash stolen?

- A** \$1 150
B \$1 200
C \$1 250
D \$1 850
- 22** The following information was extracted from a company's books:

	\$
Capital at the beginning of the year	200 000
Capital at the end of the year	300 000
Additional capital	20 000
Loan	25 000
Drawings	35 000

What was the net profit for the year in question?

- A** \$80 000
B \$90 000
C \$100 000
D \$115 000
- 23** A trader prepares his account annually to 30 April. He pays annual rent of \$18 000 and makes the payments quarterly in advance starting on 1 January.

Which figure should be transferred to the statement of financial position?

- A** \$1 500 accrual
B \$1 500 prepayment
C \$3 000 accrual
D \$3 000 prepayment

RESOURCE PACK/ACCOUNTING/A LEVEL (11th HOUR SERIES)

- 24** A sole trader commenced business with a capital of \$25 000. At the end of the year, net assets were \$31 000. Drawings were \$5 000. The bank had an overdraft of \$7 000.

What was the profit for the year?

- A** \$1 000
- B** \$4 000
- C** \$6 000
- D** \$11 000

- 25** Net profit is calculated as

- A** closing capital – drawings + additional capital – opening capital.
- B** closing capital + drawings – additional capital – opening capital.
- C** opening capital – drawings – additional capital – closing capital.
- D** opening capital + drawings – additional capital – closing capital.

- 26** Extracts from the books of Pungu, a sole trader whose business' inventory stolen, show the following information:

	\$
Sales	320 000
Purchases	312 000
Salvaged inventory	5 000

There were no opening inventories and Pungu's mark-up is 25%.

How much inventory was stolen?

- A** \$5 000
- B** \$51 000
- C** \$67 000
- D** \$72 000

- 27** A company purchases a motor vehicle that cost \$10 000 and expects to earn a gross profit margin of $\frac{1}{3}$.

What is the company's mark up?

- A** \$3 333
- B** \$5 000
- C** \$13 333
- D** \$15 000

RESOURCE PACK/ACCOUNTING/A LEVEL (11th HOUR SERIES)

- 28** The following information appears in a company's statement of profit or loss and other comprehensive incomes.

	\$
Increase in inventory	230
Purchases	970

Given a margin of $\frac{1}{6}$, how much are the sales?

- A** \$863
B \$888
C \$1 400
D \$1 440
- 29** The firm had the following figures extracted from its accounting records:

	\$
Capital at start of year	20 000
Drawings	7 000
Capital at end of year	30 000
Additional furniture from the owner	4 000

The profit made during the year was

- A** \$ 7 000.
B \$10 000.
C \$13 000.
D \$17 000.
- 30** Guza Ltd rents its premises to Jack, a sole trader.

At 31 December 2016, Jack had not paid \$5 000 for rent but on 31 December 2017 had paid \$3 000 in advance. During the year, Jack paid \$20 000 for rentals to Guzu Ltd.

What rental income is shown by Guzu Ltd in the statement of comprehensive income for the year ended 31 December 2017?

- A** \$28 000
B \$22 000
C \$18 000
D \$12 000

RESOURCE PACK/ACCOUNTING/A LEVEL (11th HOUR SERIES)

- 31** A business had the following information for the year:

$$\text{Mark up} \quad \frac{3}{7}$$

	\$
Opening inventory	5 200
Closing inventory	7 600
Sales	161 600

What is the value of purchases?

- A** \$94 743
B \$113 120
C \$115 520
D \$120 720
- 32** A business has an accounting year that ends on 30 September. Its insurance premiums are paid in advance on 1 July each year. Premiums have been paid in the past three years as follows:

	\$
2011	3 600
2012	4 000
2013	4 800

How much will be debited in the income statement for insurance on 30 September 2013?

- A** \$4 000
B \$4 200
C \$4 600
D \$4 800
- 33** During the year ended 31 December 2016, the net assets of a sole trader increased from \$36 000 to \$42 000. The sole trader withdrew \$12 000 for personal use and brought into the business her private vehicle valued at \$24 000. What was the profit or loss for the year ended 31 December 2016?
- A** \$6 000 loss
B \$6 000 profit
C \$18 000 loss
D \$18 000 profit

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- 34** All of Mutiro's inventory was stolen when his business was burgled on 20 February 2012.

The following information was made available for the period 1 January to 20 February 2012:

	\$
Inventory at 1 January 2012	11 500
Sales	21 000
Purchases	19 000
Mark up	$33\frac{1}{3}\%$

What is the value of the stolen inventory?

- A** \$14 000
B \$14 750
C \$16 500
D \$20 000
- 35** A new business provides the following data:

	\$
Closing inventory	30 000
Cost of sales	600 000
Cash drawings	50 000

The purchases figure is

- A** \$570 000.
B \$600 000.
C \$630 000.
D \$680 000.

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- 36** The following is extracted from the books of Pana Ltd.

		\$
Opening rent prepaid		400
Closing rent owing		150
Rent paid during the year:	Cash	50
	Bank	300

What is the rent expense for the year?

- A** \$900
B \$600
C \$350
D \$150
- 37** A trader had the following information for the year.

		\$
Opening balance:	Assets	580
	Liabilities	155
During the year:	Bank loan received	100
	Drawings	120
Closing balance:	Assets	480
	Liabilities	220

What is the profit or loss for the year?

- A** \$45 loss
B \$45 profit
C \$145 loss
D \$145 profit

RESOURCE PACK/ACCOUNTING/A LEVEL (11th HOUR SERIES)

- 38** The following information on a firm is available.

	\$
Revenue	31 000
Purchases	22 500
Opening inventory	5 000
Gross profit margin	30%

What is the value of closing inventory?

- A** \$3 500
B \$3 654
C \$5 800
D \$9 786
- 39** The following information is available:

	\$
Inventory at 1 January 2016	6 500
Inventory at 31 December 2016	5 500
Purchases for the year	100 000
Revenue for the year	120 000

Mark up 20%

It was discovered that some inventory has been stolen.

What is the value of stolen inventory?

- A** \$1 000
B \$5 000
C \$5 500
D \$11 000

RESOURCE PACK/ACCOUNTING/A LEVEL (11th HOUR SERIES)

- 40** A sole trader has provided the following information for the year ended 31 December 2017:

	\$
Opening inventory	20 000
Closing inventory	24 000
Cost of sales	62 000
Margin	20%

What was the sales figure for the year?

- A** \$69 600
- B** \$72 500
- C** \$74 400
- D** \$77 500